



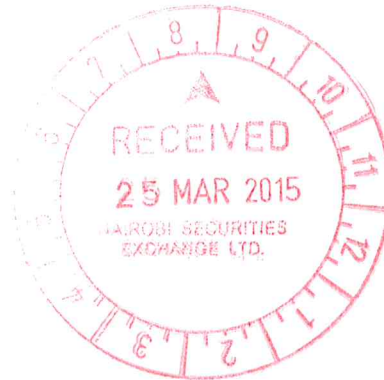
ARM CEMENT LTD
(formerly Athi River Mining Ltd)

KENYA, TANZANIA, SOUTH AFRICA, RWANDA

P. O. Box 41908 - 00100 Nairobi Kenya.
Rhino House, Chiromo Road, Westlands

March 24, 2015

**The Chief Executive ,
Nairobi Securities Exchange Ltd,
P.O Box 43633-00100,
NAIROBI**



Dear Sir,

RE: AUDITED RESULTS FOR THE YEAR ENDED 31ST DECEMBER, 2014

We are pleased to enclose herewith audited results for the year ended 31st December 2014.

Yours Sincerely,


PRADEEP H. PAUNRANA
MANAGING DIRECTOR

**Cc The Chief Executive,
Capital Markets Authority,
P.O.Box 78400-00200
NAIROBI**



Subsidiary Companies

- ARM (Tanzania) Ltd
- Rhino Cement Tanzania Ltd
- ARMSA (Pty) Ltd, RSA

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Rick Ashley (Chairman), Pradeep H Paunrana (Managing Director), S L Bhatia (Deputy Managing Director), Atul Mathur,
Wilfred Murungi, Daniel Ndonge, Michael Turner, Leonard Mususa, Andrew Alli

AUDITED GROUP RESULTS
FOR THE YEAR ENDED 31 DECEMBER 2014

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED	31.12.2014 Ksh.'000	31.12.2013 Ksh.'000	% INCREASE / (DECREASE)
Revenue	13,743,185	14,179,208	-3%
Profit Before Tax	2,018,133	2,000,060	1%
Taxation	(524,740)	(651,257)	
Profit After Tax	1,493,393	1,348,803	11%
Other comprehensive income:			
Exchange difference arising on translation of foreign operations	847	2,047	
Total comprehensive income for the year	1,494,240	1,350,850	11%
Earnings Per Share (Ksh.)	3.01	2.74	
Proposed Dividend Per Share (Ksh.)	0.60	0.60	

CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT	31.12.2014 Ksh.'000	31.12.2013 Ksh.'000
Assets		
Non Current Assets	28,706,803	22,856,692
Current Assets	8,205,777	6,848,562
Total Assets	36,912,580	29,705,254
Equity & Liabilities		
Share Capital	495,275	495,275
Share Premium	302,027	302,027
Capital and Other Reserves	8,621,015	7,326,738
Equity attributable to equity holders of parent Company	9,418,317	8,124,040
Non - Controlling interest	2,490	99,692
	9,420,807	8,223,732
Non Current Liabilities	10,001,177	14,234,938
Current Liabilities	17,490,596	7,246,584
Total Equity & liabilities	36,912,580	29,705,254

CONDENSED STATEMENT OF CASH FLOWS FOR THE YEAR ENDED	31.12.2014 Ksh.'000	31.12.2013 Ksh.'000
Cash Generated before working capital changes	2,485,589	2,998,176
Working capital changes	(949,849)	(81,361)
Cash Generated from operations	1,535,740	2,916,815
Net Interest	(252,794)	(580,885)
Dividends paid	(297,165)	(247,704)
Tax Paid	(622,956)	(180,805)
Net Cash from Operating Activities	362,825	1,907,421
Net Cash used in Investing Activities	(6,891,303)	(4,415,711)
Net Cash from Financing Activities	4,860,257	(288,310)
Increase/(Decrease) in Cash and Cash Equivalents	(1,668,221)	(2,796,600)
At start of the Period	(1,879,015)	770,227
Exchange Adjustment	811,604	147,358
At end of the Period	(2,735,632)	(1,879,015)

CONDENSED STATEMENT OF CHANGES IN EQUITY AS AT	31.12.2014 Kshs.'000	31.12.2013 Ksh.'000
Share Capital/Premium	797,302	797,302
Revaluation reserve	617,627	950,975
Fair value and translation reserves	46,419	-52,142
Retained Earnings	7,956,969	6,427,905
Attributable to equity holders of the parent Company	9,418,317	8,124,040
Non - Controlling interest	2,490	99,692
At end of the period	9,420,807	8,223,732

RESULTS 2014

The Board of Directors is pleased to announce the audited results for the Group for the year ended 31st December 2014. Group Profit after tax grew by 11% to Kshs 1.5 billion. The Group revenue remained stable at Kshs 13.7 billion, as no significant increased capacity came on line and the Tanga clinker plant was only completed in December 2014. The gross margin improved by 8% , to Kshs 3.7 billion , driven by increased productivity and process efficiencies at all the plants. The total group cash flow generated from operations stood at Kshs 2.5 billion while the total borrowings increased by Kshs 4.8 billion to complete the Clinker plant at Tanga in 2014

OUTLOOK 2015

The Group is confident about the outlook for 2015, with growth in turnover and profitability. The Cement markets continue to grow at double digits with significant demand from the infrastructure segment. With commencement of clinker production in Tanga, margins are expected to grow as we substitute clinker imports with our own clinker. Furthermore operational efficiencies will contribute to improved margins. The Company doubled the manufacturing capacity for Mavuno Fertilizers and has a strong order book for sales in 2015.

To support its continued expansion, ARM has appointed a group of mandated lead arrangers (Barclays Bank of Kenya, CFC Stanbic Bank and Standard Chartered Bank) to assist the Company in raising medium to long term funding requirements and to refinance its short term borrowings.

Dividends

The Board of Directors recommends a first and final dividend of Ksh 0.60 per share for 2014 (Ksh 0.60 in 2013).

Closure of Share Register

The Annual General Meeting will be held at the Laico Regency Hotel, Nairobi, on Thursday 30th of July 2015, at 10.00 am. Subject to approval by the shareholders at the Annual General Meeting, the dividend will be paid on or about 20th August, 2015 to members on the register of members at the close of business on 30th July 2015. Accordingly, the register of members will remain closed on 31st July 2015.

By Order of the Board



R. R. Vora
Company Secretary
24th March, 2015